Qualification Programme Examination Panelist's Report

Module 3 – Business Economics
(December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 20 multiple choice questions covering the whole syllabus on economics and business statistics. Good performance in this section reflects a solid understanding of the relevant concepts and the ability to apply these concepts in different settings as well as handle the calculations well.

Overall, candidates performed well in the categories of "Knowledge" and "Computation" but demonstrated unsatisfactory performance under "Application".

Specific Comments

Candidates' performance was weak in the following areas:

- Applying basic definitions to determine the outcome in scenarios that involve several possible outcomes (e.g., MC9 ("knowledge" and "application" categories) – determining the effect of a price change on sales/revenue of the product given its extent of price elasticity of demand)

- Unfamiliarity with standard but key formulas and their use in both economic and statistical issues (e.g., MC4 ("calculation" category) – using the mid-point elasticity method for the calculation of price elasticity of demand, standard deviation, and coefficient of variation – and MC7 ("application" category) – interpreting CPI figures to determine the pattern of inflation changes)

In preparing for the exam, candidates are advised to review the issues from the three perspectives mentioned above (i.e., knowledge, calculation, and applications).

(II) Section B – Written Questions

General Comments

This section consisted of 5 questions. Performance ranged from unsatisfactory to good, with an overwhelming majority skewing toward the former.

Specific Comments

Question 1(a) – 6 Marks

The question required candidates to make a comparison between a perfectly competitive market and a monopoly in terms of output and pricing decisions as well as long-term profitability.

Overall, performance was unsatisfactory. A majority of the candidates failed to state the key criterion for output and pricing decisions in the two markets.

Question 1(b)(i) – 5 Marks

This question required candidates to determine the price (P), marginal revenue (MR), and marginal cost (MC) of a monopoly, given the information provided.

Overall, performance was satisfactory.

Question 1(b)(ii) – 4 Marks

This question required candidates to make direct use of the information in the table in part (a) (P, MR, and MC) to state the profit-maximizing output condition for a monopoly and then determine the corresponding output level.

Overall, performance was satisfactory. A significant number of candidates did not receive full marks due to arriving at a different answer (i.e., output being one unit instead of two) by comparing profits at various output levels instead of comparing MR and MC.

Question 1(b)(iii) – 3 Marks

This question required candidates to determine the profit the firm would make based on the profit-maximising output condition in part (b)(ii).

Overall, performance was unsatisfactory. Most candidates were unable to state the correct numerical formula for profits. This may have been due to most candidates failing to realise that constant MC with zero fixed cost implies that average cost (AC), average variable cost (AVC), and marginal cost (MC) are the same.

Question 1(b)(iv) – 2 Marks

This question required candidates to define consumer surplus.

Overall, performance was unsatisfactory. Most of the candidates seemed to have had little or no knowledge on the topic.

Question 1(b)(v) – 3 Marks

This question required candidates to compute the amount of consumer surplus that would be captured by the firm (rather than the consumers) if the market is a monopoly instead of a perfectly competitive market.

Performance was unsatisfactory. Candidates were expected to have a solid understanding of the issues presented in the previous parts of the question to carry out the calculations. To answer this question correctly, candidates were required to divide the consumer's total loss into two different parts: (1) "dead-weight loss" (the benefits that would be received by the consumers should the units of output be produced in a perfectly competitive market); and (2) the amount of consumer benefit/surplus being transferred to (captured by) the monopoly through charging a higher price than in a perfectly competitive market.

Question 2(a) – 4 Marks

This question required candidates to compare nominal GDP (gross domestic product) with real GDP.

Overall, performance was marginally satisfactory. Candidates were expected to state the similarity (e.g., both are measuring current output) as well as difference (e.g., one is inflation-adjusted while the other is not) between the two measures.

Question 2(b)(i) – 4 Marks

This question required candidates to apply the expenditure approach to measure the (monetary) effect on GDP and its relevant components under two different scenarios in 2(b)(i) – Scenario (i) and 2(b)(ii) – Scenario (ii).

Scenario (i) tested candidates' understanding that government-ordered imported goods should be counted as an increase in both "Imports (IM)" and "Government spending (G)" and thus should have no net effect on GDP.

Overall, performance was marginally satisfactory.

Question 2(b)(ii) – 4 Marks

Scenario (ii) tested candidates' understanding of how unsold manufactured (consumption) goods should be recorded so that even the unsold portion could be used as part of the inputs (along with the sold/spent-on manufacturing goods, that is, Consumption (C)) under the expenditure approach for calculating GDP.

Overall, performance was unsatisfactory.

The overall poor performance seems to support the observation that candidates' understanding of the concepts was insufficient to allow them to apply the definition-based knowledge in a more dynamic setting.

Question 2(c)(i) – 4 Marks

This question, as in part (b), required candidates to apply the Aggregate Demand-Aggregate Supply (AD-AS) model under two scenarios to analyse how the event (a "shock" or change in an exogenous variable) affected the price and the economy's output (GDP) in the short run.

Candidates were tested to see if they understood how a fall in the size of labour would increase wages and shift the short-run aggregate supply curve (SRAS) to the left while leaving the AD curve unchanged.

Overall, performance was satisfactory.

Question 2(c)(ii) – 4 Marks

This question required candidates to analyse how an appreciation of the domestic currency against its major trading partners' currencies would affect the economy's price and output using AD-AD analysis.

Unlike part (i), overall performance was unsatisfactory. Most candidates appeared to have had difficulty determining which of the curves would be affected by the event.

Question 3(a) – 2 Marks

This question required candidates to define opportunity cost.

Overall performance was good.

Question 3(b) – 3 Marks

This question required candidates to determine the opportunity cost (with supporting calculation) of doing a full-time top-up undergraduate degree.

Overall performance was unsatisfactory. Most candidates failed to read the question carefully and neglected the fact that a full-time university student should be able to spare two hours per week to work a part-time job.

Question 4(a)(i) – 1 Marks

This question required candidates to simply state which type of average return measure should be used to estimate next year's portfolio return.

Overall, performance was good.

Question 4(a)(ii) – 4 Marks

This question required candidates to compute the arithmetic return of each of the portfolios in the question.

Overall, performance was satisfactory.

Question 4(b)(i) – 2 Marks

This question required candidates to compute the range of each portfolio’s rate of return.

Overall, performance was satisfactory.

Question 4(b)(ii) – 4 Marks

This question required candidates to list two advantages and two disadvantages of range as a measure of dispersion.

Overall, performance was unsatisfactory.

Question 4(c)(i) – 2 Marks

This question required candidates to compute the standard deviation of return of each of the portfolios.

Overall, performance was satisfactory.

Question 4(c)(ii) – 2 Marks

This question required candidates to explain how standard deviation improved the usefulness of range as a measure of dispersion.

Overall, performance was satisfactory.

Question 4(d)(i) – 2 Marks

This question required candidates to compute the coefficient of variation (CV) of the rates of return of each of the portfolios.

Overall, performance was satisfactory.

Question 4(d)(ii) – 3 Marks

This question required candidates to explain under what conditions would CV improve upon standard deviation as a measure of dispersion.

Overall, performance was good.

Question 5(a) – 3 Marks

This question required candidates to explain probability and non-probability sampling methods.

Overall performance was marginally satisfactory. Although most of the candidates were able to provide a definition, the wording used was unclear.

Question 5(b) – 9 Marks

This question required candidates to describe any three non-probability sampling methods.

Overall performance was marginally satisfactory. Many candidates failed to state the name of the three methods correctly.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was marginally better than the last cohort.

The key factor that held back the candidates' performance seemed to be lack of sufficient preparation for the exam. An efficient and effective way for candidates to gain a basic understanding of the whole syllabus and the types of questions that they might face in the examination is to go through the entire study pack for this module. If necessary, candidates should also refer to relevant sections of the supplementary readings, including the economics and statistics reference books for this module. It would also be helpful for candidates to spend time going through past exam questions in order to familiarise themselves with how the issues are examined.